

BUSINESS RECOMMENDATIONS

Project Title:

Retail & E-Commerce Sales Performance Analysis

1. Objective

The objective of this document is to provide practical business recommendations based on the findings obtained from the Exploratory Data Analysis (EDA) and Power BI dashboard. These recommendations are intended to improve sales performance, increase profitability, reduce product returns, optimize operations, and support data-driven business decision-making.

2. Business Recommendations

Recommendation 1: Improve Sales During Low-Performing Months

Analyze the marketing strategies, promotional campaigns, and customer demand patterns that contributed to the high sales performance in September and December. Apply similar strategies during low-performing months, especially October, to minimize seasonal sales fluctuations.

Recommendation 2: Strengthen High-Performing Categories

Continue investing in the Electronics category by maintaining sufficient inventory, introducing new products, and increasing promotional activities. Develop targeted marketing campaigns to improve the sales performance of Office Supplies while maintaining the strong performance of Furniture.

Recommendation 3: Optimize Sub-Category Performance

Increase focus on high-performing sub-categories such as Accessories while reviewing pricing, promotional activities, and product assortment for lower-performing sub-categories like Computers and Paper to improve both sales and profitability.

Recommendation 4: Improve Product Performance

Maintain adequate inventory levels for high-selling products such as Keyboard and continue promoting profitable products like Chair. Review the pricing, marketing, and product positioning of Laptop and Printer Paper to increase their market performance.

Recommendation 5: Strengthen Brand Performance

Continue supporting high-performing brands such as HP and IKEA through marketing campaigns and product availability. Evaluate the pricing and promotional strategies of lower-performing brands to improve their sales and profitability.

Recommendation 6: Enhance Customer Segment Strategies

Develop loyalty programs and personalized marketing campaigns for Corporate customers while increasing promotional activities aimed at Consumer and Home Office customers to improve customer engagement and revenue.

Recommendation 7: Improve Regional Performance

Maintain strong sales performance in the West region while implementing targeted sales strategies to increase revenue in the South region. Analyze the profitability practices followed in Karnataka and apply similar operational strategies in other regions where appropriate.

Recommendation 8: Optimize Shipping Operations

Continue offering First Shipping for premium customers and high-value orders. Improve the efficiency of Second Shipping, as it handles the highest order volume, and evaluate Standard Shipping services to enhance customer satisfaction.

Recommendation 9: Encourage Digital Payments

Promote Card and UPI payments through cashback offers, discounts, or loyalty rewards. Continue monitoring customer payment preferences to ensure convenient and secure payment options.

Recommendation 10: Optimize Discount Strategy

Focus on offering low to moderate discounts (5%–10%) that encourage higher sales while maintaining profitability. Avoid excessive discounts unless they are required for inventory clearance or special promotional campaigns.

Recommendation 11: Reduce Product Returns

Strengthen order verification procedures to reduce Wrong Item returns. Improve packaging and logistics processes to minimize damaged products during transportation. Regularly analyze customer feedback to identify and resolve recurring product quality issues.

Recommendation 12: Monitor Business Performance Regularly

Continuously monitor key business metrics such as Total Sales, Total Profit, Total Orders, Profit Margin, Return Rate, and Average Discount using the Power BI dashboard. Regular performance reviews will enable timely business decisions and continuous improvement.

3. Expected Business Benefits

The implementation of these recommendations is expected to provide the following benefits:

- Increase overall sales revenue.
- Improve profit margins.
- Reduce product return rates.
- Enhance customer satisfaction.
- Improve inventory management.
- Strengthen regional and product performance.
- Optimize discount strategies.
- Support faster and more effective business decision-making.

4. Conclusion

The recommendations presented in this document are based on the findings obtained from the retail sales analysis. By implementing these recommendations, the organization can improve operational efficiency, increase profitability, strengthen customer relationships, and support sustainable business growth. Regular monitoring through the Power BI dashboard will help ensure continuous performance improvement and informed strategic decision-making.